

SUMMING UP...

Here's how you create a financial projection:

You create one file with multiple tabs

The screenshot shows a Google Sheets spreadsheet titled 'Company Name' with multiple tabs at the bottom: 'Company Overview', 'Assumptions', 'Income Statement', 'Business Model', 'CFO', 'Valuation', 'Comps', and 'Company Overview'. The 'Income Statement' tab is selected, showing a detailed financial projection over 12 months. The spreadsheet includes various line items such as 'Cost of Goods Sold', 'Employee Expenses', 'Customer Acquisition Expenses', and 'Net Income'. The numbers are random, as indicated by a note.

The first tab would be about the master income statement

Then you can add multiple tabs explaining the main line items, including employee expenses, customer acquisition expenses, cost of goods sold, etc.

*The numbers in the sheet are random

The investor simply wants clarity around the line items. For example, if you are talking about the employees, they would ask questions like what kind of employees you need and their pay scale. Questions around the cost of goods can be like who are the suppliers, where will you get them from, and whether they will give you a credit period, or what is the credit period, etc.

You can look up on the Internet at lot of samples and templates for a startup better.

F In the next section, we will discuss more about projections.